Standard Operating Procedure for Virtual e-Commerce Transactions

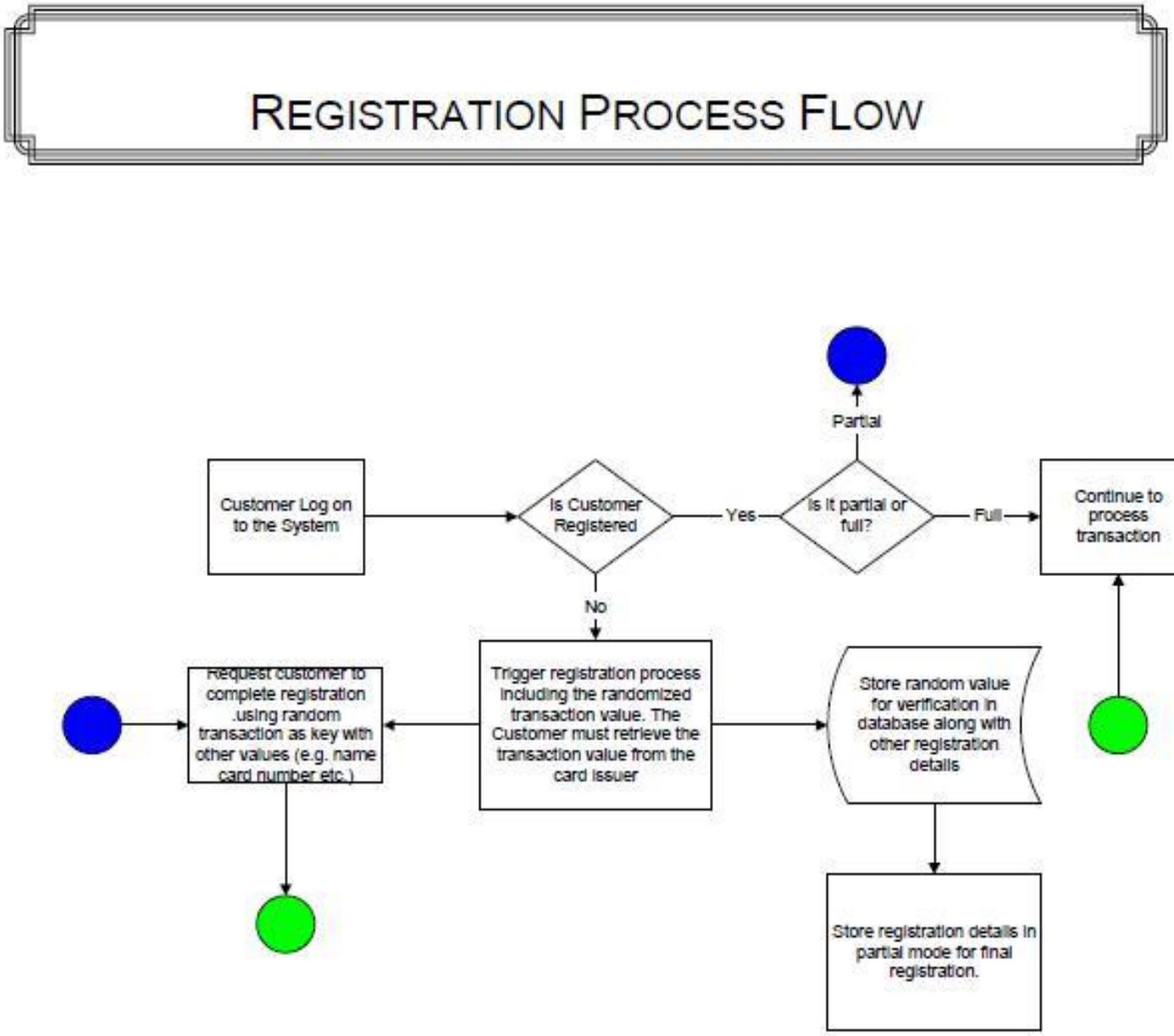
1.0 Overview

1.1 This document provides the necessary framework for the sale of products via NCB e-commerce payment gateway. This framework is geared at reducing the high incidence of fraud associated with e-commerce transactions. The modus selected is via a system of customer registration prior to the conducting of online purchases.

2.0 Roles

Activity	**Ownership**
Provide staging card registration account details to developer	FAC
Testing card registration module on the staging platform	Developer
Provide live/production card registration account details to developer	FAC
Testing card registration module on the production platform	Developer
Providing help desk support to developers during the card registration process	NCB

3.0 Methodology



3.1 The merchant must be set up for e-commerce NCB in order to transact business. Having completed the web site requirements the merchant must implement a registration module which will allow customers to register prior to conducting business. The registration module as defined in the methodology diagram in 2.0 will act as follows:

1. The customer is required to complete a two part registration process
2. At the onset the customer is required to select their card billing currency (see list of accepted currencies in the table below) and input his/her personal details (name, address etc.) and credit card information (card name, number, expiry date, CVV2/CVC2).
3. The website should charge the card a random non-whole transaction amount between $1 and $5 (i.e. amount must have cents, for example $2.17) against the credit card.
4. The customer is sent an email with the link to complete the registration
5. The customer is invited to obtain the transaction amount from his bank (timeline – minutes), or view this amount on his/her online statement
6. The customer will use this random transaction amount to complete the registration, when they return to website.
7. The customer should be restricted in the number of attempts (say 3 attempts) made to complete the registration to prevent him/her from trying several random values in order to beat the system
8. If the customer exceeds the attempt limit then the merchant must automatically voided /reverse the registration amount to the credit card account.
9. Whether or not the registration is successfully completed, the registration amount is automatically voided / reversed to the cardholder's card account.

N.B. The merchant is allowed to store the first 4 and last 4 numbers of the credit card for the registration verification process and this should be linked the customer's username.

4.0 Other Considerations

4.1 The merchant must ensure that all cardholder information especially the logon password must be maintained in encrypted format on the database and at point of entry on the GUI.

4.2 The merchant must make available to their customers an option to amend passwords.

4.3 This option must allow the customer to change the password from a known password to any other and should state character limitations consistent with industry standards.

4.4 This option must allow users who have forgotten their password a system of obtaining another (test questions etc.)

4.5 The merchant may include terms and conditions of use of service and prompt the user's acceptance for additional protection and information.

4.6 The merchant will continue to be bounded by the terms and conditions of the e-commerce agreement and any other agreement signed by that merchant with the bank.

4.7 The merchant may exercise flexibility in configuring customer profiles and accounts with the approval of NCB to ensure no breach of the e-commerce agreement.

4.8 The merchant must include the option for the customer to select the billing currency of the card during registration. This will ensure that the random amount is charged in the currency of the card. The following currencies are supported for registration:

Currency Name	Code
Netherlands Antillean Guilder	ANG
Aruban Guilder	AWG
Barbados Dollar	BBD
Bermudian Dollar	BMD
Bahamian Dollar	BSD
Belize Dollar	BZD
Canadian Dollar	CAD
Dominican Peso	DOP
Euro	EUR
Pound Sterling	GBP
Guyana Dollar	GYD
Haitian Gourde	HTG
Jamaican Dollar	JMD
Cayman Islands Dollar	KYD
Trinidad and Tobago Dollar	TTD
US Dollar	USD
East Caribbean Dollar	XCD

5.0 Conclusion

5.1 By following the guidelines given in this document the event of fraud and fraudulent transactions should be drastically reduced. The nature of these transactions being one in which the merchant has no proof of card presence normally attract a higher level of fraud.

5.2 These measures are being employed to protect all parties, customer, merchant and bank against that risk. It must be clearly understood that this is no guarantee on the part of NCB that fraud will not occur. Additionally, the bank is willing to work with the merchant in perfecting solutions and is open to suggestions for improvement.

5.3 These measures should be implemented in addition to 3D secure and other measures that reduce the financial exposure of all parties involved.